MERIDIAN ASSET MANAGEMENT

Fixed Income Fund — Investment Guidelines & Risk Framework

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Document Purpose

This document establishes the investment guidelines, risk limits, and compliance requirements for the Meridian Fixed Income Fund (the "Fund"). All portfolio management activities, reporting obligations, and internal audit procedures must be conducted in accordance with these guidelines. This document supersedes MAM-FI-2023-GL-005.

1. Fund Overview

Parameter	Specification
Fund Name	Meridian Fixed Income Fund
Fund Type	Open-ended Unit Trust
Base Currency	Singapore Dollar (SGD)
Benchmark	MAS Bill Index (3-month) + 1.5%
Target Return	4.5% – 6.0% p.a. (net of fees, over rolling 3-year period)
Target Volatility	≤ 4.0% annualised standard deviation
Liquidity Terms	Daily dealing; T+2 settlement
Inception Date	15 March 2018
Regulatory Status	MAS-authorised CIS under Securities and Futures Act (SFA)

2. Permitted Investments & Allocation Limits

The Fund may invest in the following asset classes subject to the limits specified below. All limits are expressed as a percentage of Net Asset Value (NAV) and must be maintained on both a pre-trade and end-of-day basis.

Asset Class	Min Allocation	Max Allocation	Notes
Singapore Government Securities (SGS)	20%	60%	AAA-rated only
MAS Bills	0%	40%	Liquidity buffer
Investment Grade Corporate Bonds	10%	50%	Min BBB- (S&P / Moody's)
High Yield Bonds	0%	15%	Max BB+ rating; APAC issuers only

Foreign Currency Bonds (hedged)	0%	20%	Currency risk must be fully hedged
Structured Credit (ABS/MBS)	0%	10%	AAA tranche only; pre-approved list
Cash & Cash Equivalents	5%	25%	Minimum liquidity floor

Note: Aggregate exposure to non-investment-grade instruments (High Yield + Structured Credit) must not exceed 20% of NAV. Breaches of allocation limits must be reported to the Risk & Compliance Committee within 24 hours and remedied within 5 business days.

3. Risk Limits & Monitoring

3.1 Market Risk

Risk Metric	Limit	Monitoring Frequency	Breach Action
Modified Duration	2.0 – 6.5 years	Daily	PM notification within 1h
Portfolio DV01	≤ SGD 85,000 per bp	Daily	Risk Committee alert
Value-at-Risk (95%, 10-day)	≤ 2.5% of NAV	Daily	CRO review required
Expected Shortfall (97.5%)	≤ 3.8% of NAV	Weekly	Board reporting if exceeded
Interest Rate Sensitivity	≤ ±12% NAV impact for +/-200bp	Monthly	Strategy review
Tracking Error vs Benchmark	≤ 3.0% annualised	Monthly	IPS review triggered

3.2 Credit & Counterparty Risk

Single Issuer Concentration: No single issuer (excluding Singapore Government) may represent more than 8% of NAV. Government-related entities (GREs) are capped at 12% per issuer. Counterparty risk for OTC derivatives is governed by the ISDA Master Agreement framework; net exposure to any single counterparty must not exceed 5% of NAV.

Credit Rating Monitoring: The Investment Risk team shall monitor rating changes for all portfolio holdings on a daily basis using Bloomberg feeds. Any holding downgraded below investment grade ("fallen angel") must be reviewed within 3 business days. Disposition must be completed within 30 calendar days unless a waiver is granted by the CIO.

3.3 Liquidity Risk

The Fund must maintain sufficient liquidity to meet redemption requests under normal and stressed conditions. Liquid assets (SGS + MAS Bills + Cash) must constitute a minimum of 25% of NAV under normal conditions and 35% under stress (defined as redemptions exceeding 15% of NAV in any rolling 5-day period). Liquidity stress testing shall be conducted monthly using MAS-prescribed scenarios and reported to the Board Risk Committee quarterly.

4. Reporting Requirements

All reports must be generated and distributed within the timelines specified below. Data sources must be clearly referenced, and any manual adjustments to system-generated figures must be documented with the approving officer's signature and reason for adjustment.

Report Name	Frequency	Recipients	Key Data Points	Retention
Daily NAV Report	Daily T+1	PM, Risk, Fund Admin	NAV per unit, total AUM, daily P&L, duration, DV01	7 years
Portfolio Holdings Report	Daily T+1	PM, Compliance	Full position list, market values, weight vs limits	7 years
Risk Dashboard	Daily T+1	CRO, PM, Risk Team	VaR, ES, duration, concentration metrics, limit utilisation	7 years
Monthly Performance Report	Monthly T+5	Board, Investors	Return vs benchmark, risk metrics, attribution analysis	10 years
Quarterly Investor Letter	Quarterly T+15	All investors	Market commentary, fund positioning, outlook	10 years
Annual Compliance Report	Annual	MAS, Board	Regulatory compliance, policy adherence, exceptions log	Permanent

5. Compliance & Audit Requirements

The Fund operates under MAS Notice SFA 04-N14 and the MAS Technology Risk Management (TRM) Guidelines. All technology systems used in portfolio management, risk calculation, and reporting must comply with TRM requirements including data integrity controls, access management, and audit trail maintenance.

5.1 Audit Trail Requirements

All data used in regulatory and investor reporting must maintain a complete audit trail from source to final output. Specifically:

• Source data provenance: Every data point in a report must be traceable to its originating system or document, including timestamp of extraction.

• Transformation log: Any calculation, adjustment, or derivation applied to source data must be recorded with the formula/methodology used and the identity of the responsible person or system.

• Version control: All reports must carry a version number. Amendments to previously issued reports require documented justification and re-approval.

• Immutability: Audit records must be stored in a write-once, append-only format. Retrospective modification of audit records is prohibited.

• Retention: Audit trails must be retained for a minimum of 7 years for transaction data and 10 years for investor-facing reports.

5.2 Exception & Breach Reporting

Any breach of the investment guidelines set out in this document must be reported to the Risk & Compliance Committee within 24 hours of detection. The report must include: (a) nature and magnitude of breach, (b) affected positions, (c) root cause analysis, (d) proposed remediation plan with timeline, and (e) interim risk mitigation measures. Material breaches (defined as exceeding 110% of any hard limit) must also be reported to MAS within 3 business days.

6. Document Amendment & Review

This document is reviewed annually by the Investment Management Committee and the Risk & Compliance Committee. Ad-hoc amendments may be initiated by the CIO or CRO and require written approval from both. All amendments are recorded in the Document Change Log maintained by the Compliance function.

Version	Date	Author	Summary of Changes
1.0	01 Jan 2022	J. Tan (CRO)	Initial version approved by IMC
1.5	15 Jul 2022	S. Lim (Risk)	Added structured credit sublimit (Section 2)
2.0	01 Jan 2023	J. Tan (CRO)	Updated VaR methodology to 95% / 10-day; revised DV01 limit
2.1	01 Jan 2024	R. Ng (Compliance)	MAS TRM audit trail requirements added (Section 5.1); retention periods upda